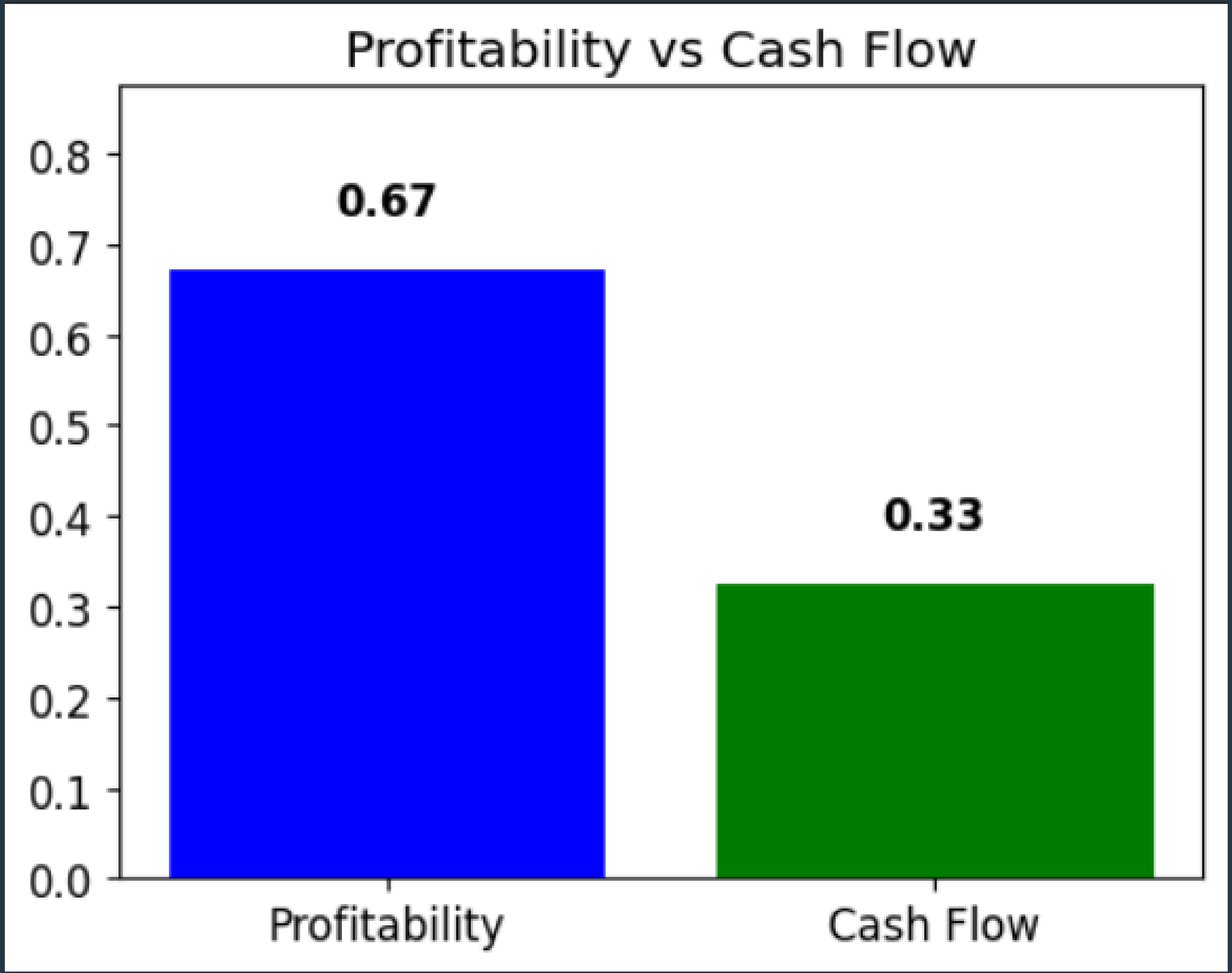
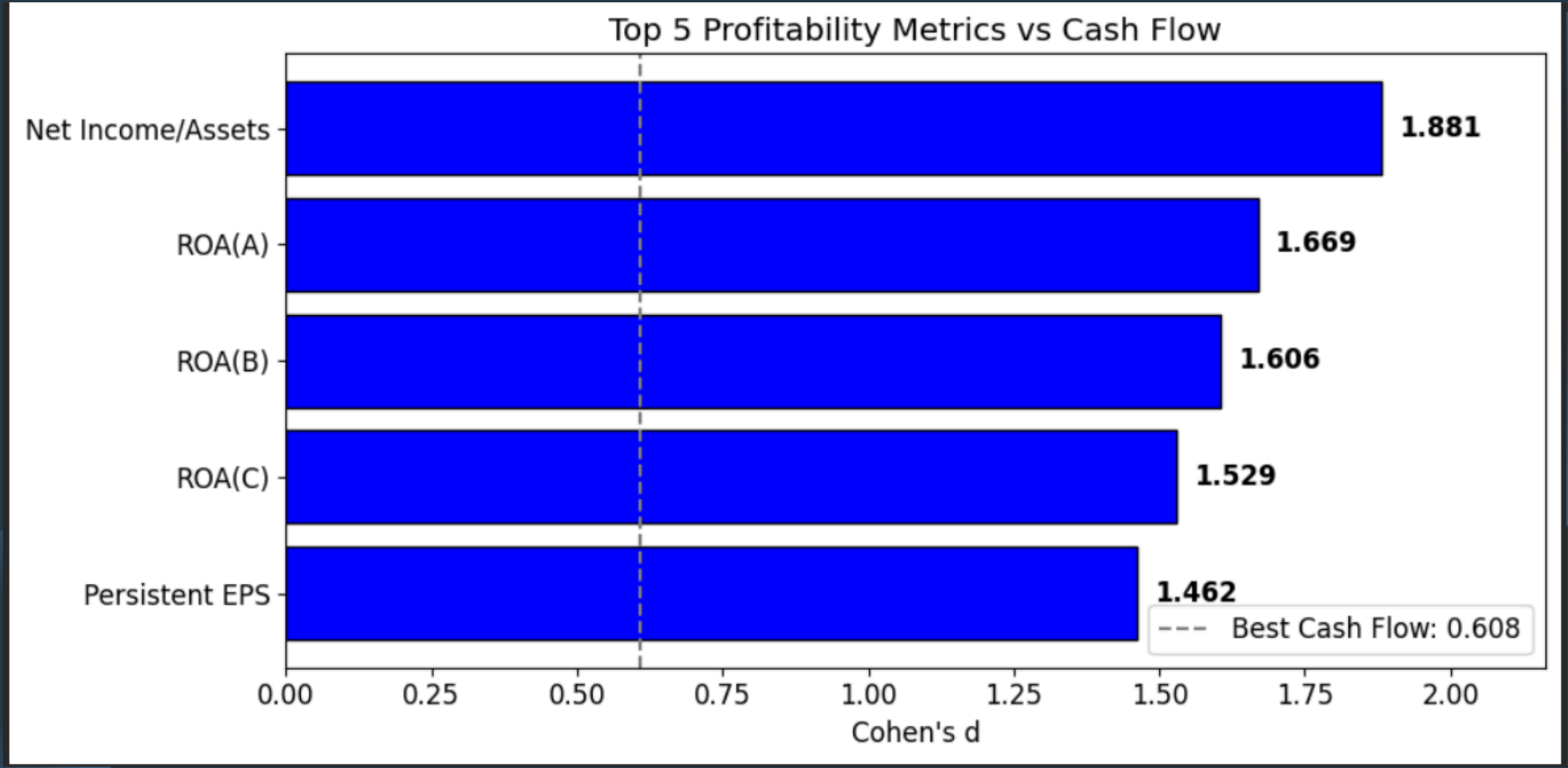
PROBLEM:

“Are cash flow indicators more effective than profitability indicators in predicting bankruptcy?”


Profitability vs Cash Flow
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.1
0.0
0.67
0.33
Profitability
Cash Flow

MORE EVIDENCE



PROFITABILITY BEATS CASH FLOW

FOR EARLY WARNING

🔵 PROFITABILITY 📉 → Early Signal

🟡 CASH FLOW 📉 → Confirmation

🟢 BOTH 📉 → Strongest Signal